

5. Why is GPM higher/lower than competitors?

We need to dig deeper into different competitors to find the answer to this question, as different companies will do things differently from their competitors.

EXAMPLE

One company might set up a manufacturing unit and produce its own products. Another might not set up such a manufacturing unit but outsource it to a third party to manufacture their products for them. The first company has a higher gross profit margin but also a high-interest cost. The second company will have a lower gross profit margin but no interest cost. Thus, we see that two companies doing the same work can produce different gross profit margins.



A higher gross profit margin but also a high-interest cost



A lower gross profit margin but no interest cost

Thus, it's a must that we compare the competitors' gross profit margins and also ask questions about the difference different companies.

To summarise, the following questions need to be asked about COGS:

What is the gross profit margin

